Alder Quay Financial Services Ltd

UK Financial Regulatory Compliance Manual

FICTIONAL TRAINING / TEST DOCUMENT - NOT LEGAL ADVICE

Alder Quay Financial Services Ltd is invented. All staff, systems, limits, approvals and company arrangements in this pack are synthetic. No real authorisation, regulatory registration, employment entitlement or product is represented. Use only to test document retrieval and grounded answers.

Document Id: AQ-CMP-001

Version: 3.1

Effective Date: 2026-10-01

Review Date: 2027-10-01

Status: Current - synthetic

Classification: Internal - synthetic test data

Owner: Chief Compliance Officer

Approver: Fictional Board Policy Committee

Related documents: AQ-HR-003, AQ-HR-005, AQ-CMP-002, AQ-CMP-003, AQ-CMP-004

Contents and citation guide

1. Purpose, assumptions and limitations

2. Regulatory perimeter and accountability

3. Customer outcomes and advice controls

4. Financial crime, conflicts and promotions

5. Complaints, incidents and regulatory engagement

6. Monitoring, evidence and external context

Cite document ID, version and section number. All versions in this pack are current as of the shared effective date. Change notes refer to fictional history; superseded documents are not supplied.

1. Purpose, assumptions and limitations

This manual is a simplified fictional control design for an assumed investment advice and discretionary portfolio management business serving UK retail clients. No FCA firm reference number exists in this pack

The simulation assumes relevant permissions and does not itself hold client money or custody assets. Actual permission scope, rules, exemptions, reporting duties and regulatory changes must be assessed by qualified advisers using current official materials. No policy statement here establishes legal compliance.

2. Regulatory perimeter and accountability

Compliance maintains a permissions matrix mapping each service, customer type and delivery channel to the assumed permission and applicable rules. No new service, financial promotion or overseas client activity may launch until Compliance records a perimeter review and executive approval

FCA conduct requirements are relevant to the assumed model; PRA requirements must not be treated as universally applicable to all financial companies. The PRA supervises specified categories including banks, insurers and certain investment firms. Senior manager and certification responsibilities are assessed for applicability and maintained in a responsibilities register; job titles alone do not prove approval.

3. Customer outcomes and advice controls

For in-scope retail business, the Consumer Duty is considered through products and services, price and value, consumer understanding and consumer support. These are contextual regulatory themes, not a complete rule summary. Internally, Product Governance reviews outcome indicators quarterly: complaint causes, vulnerable customer support, fees, withdrawals and understanding checks

Advisers record objectives, risk tolerance, capacity for loss, relevant knowledge and suitability rationale before a recommendation. Missing critical evidence pauses the recommendation. Independent file review samples 10 advice files monthly, with risk-based expansion when defects emerge.

4. Financial crime, conflicts and promotions

The MLRO owns the financial crime risk assessment and approves higher-risk onboarding. Complete identity and beneficial ownership checks, sanctions screening and source-of-funds enquiries proportionate to risk before activation; unresolved concerns block activation. Staff report suspicions to the MLRO immediately through the restricted case system, do not investigate independently and avoid disclosures that could prejudice an investigation

The MLRO determines external reporting with specialist advice. Compliance pre-approves promotions for clarity, balance and intended audience. Declare conflicts and personal dealing before action. Gifts follow AQ-HR-003 section 5; numerical limits never override anti-bribery concerns.

5. Complaints, incidents and regulatory engagement

Record any expression of dissatisfaction about a financial service in the complaints system on the day received, even if informal. Send to the Complaints Lead within one working day. The lead identifies the applicable regime, response deadlines and escalation rights using current rules; this manual does not assign one universal deadline across products

Compliance owns regulatory communications and assesses notifications without waiting for full root-cause analysis. Internal targets are immediate escalation for suspected serious customer harm and notification to the Chief Compliance Officer within four working hours. These are company targets, not regulatory filing deadlines.

6. Monitoring, evidence and external context

Compliance maintains a monthly monitoring plan, records exceptions, assigns owners and reports quarterly to the Risk Committee. Evidence includes approvals, suitability files, complaints outcomes, training and remediation closure. Independent assurance follows AQ-CMP-004

Official context, checked 18 October 2026: FCA, About the Consumer Duty, https://www.fca.org.uk/firms/consumer-duty/about ; Bank of England, Which firms does the PRA regulate?, https://www.bankofengland.co.uk/prudential-regulation/authorisations/which-firms-does-the-pra-regulate . These sources support limited background only. Consult current FCA Handbook and specialist advice for any real implementation. Version 3.1 clarifies the assumed perimeter.